Econ 2 - Lecture 16 - 3/9/26

Week 10: Final Discussion Activity ⇒ Need 3/5

↳ Generate a question bank

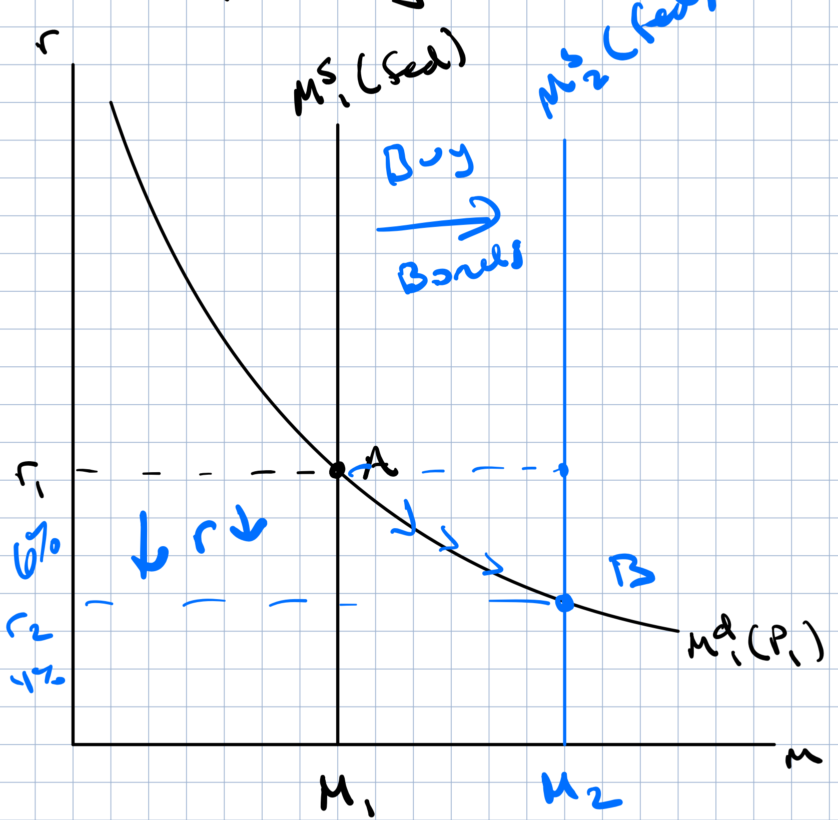
Lecture Quiz #9 Released Wednesday, 3/11, Due 3/18

Final Exam on Wednesday, 3/18 @ 9AM - 11AM

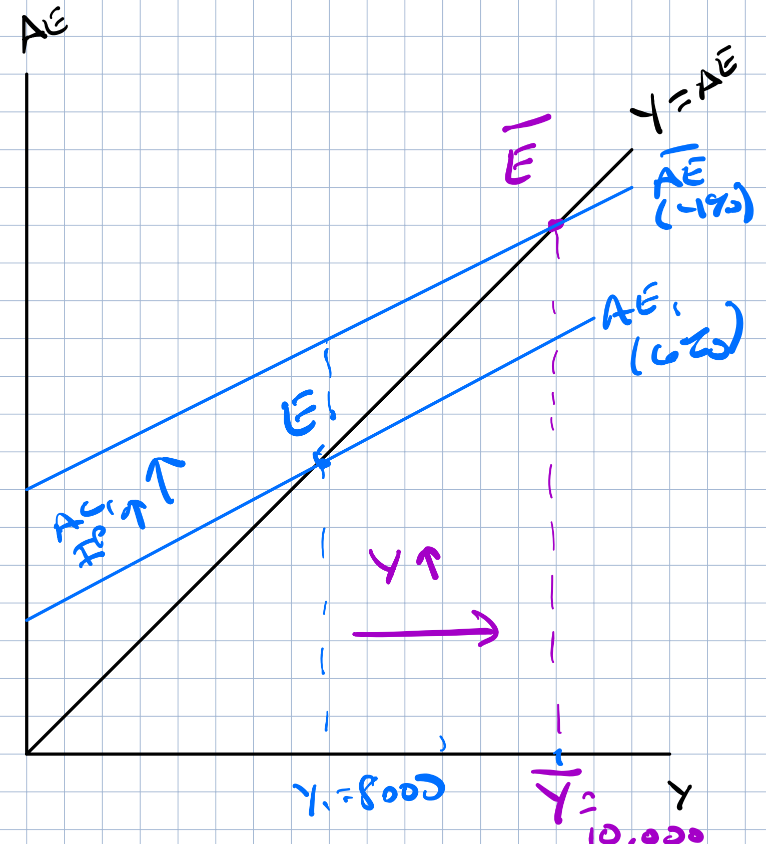
Last class: Market for money → AE components

This week: Aggregate Demand & Aggregate Supply

Recap: Money Market



AE



If r_1 decreases: cost of borrowing ↓

→ AC ↑, I^P ↑

→ AE ↑

If r_1 increases: cost of borrowing ↑

→ AC ↓, I^P ↓

→ AE ↓

$r_1 = 6\%$, $Y_1 = 8{,}000$

$\bar{Y} = 10{,}000$

What should Fed do?

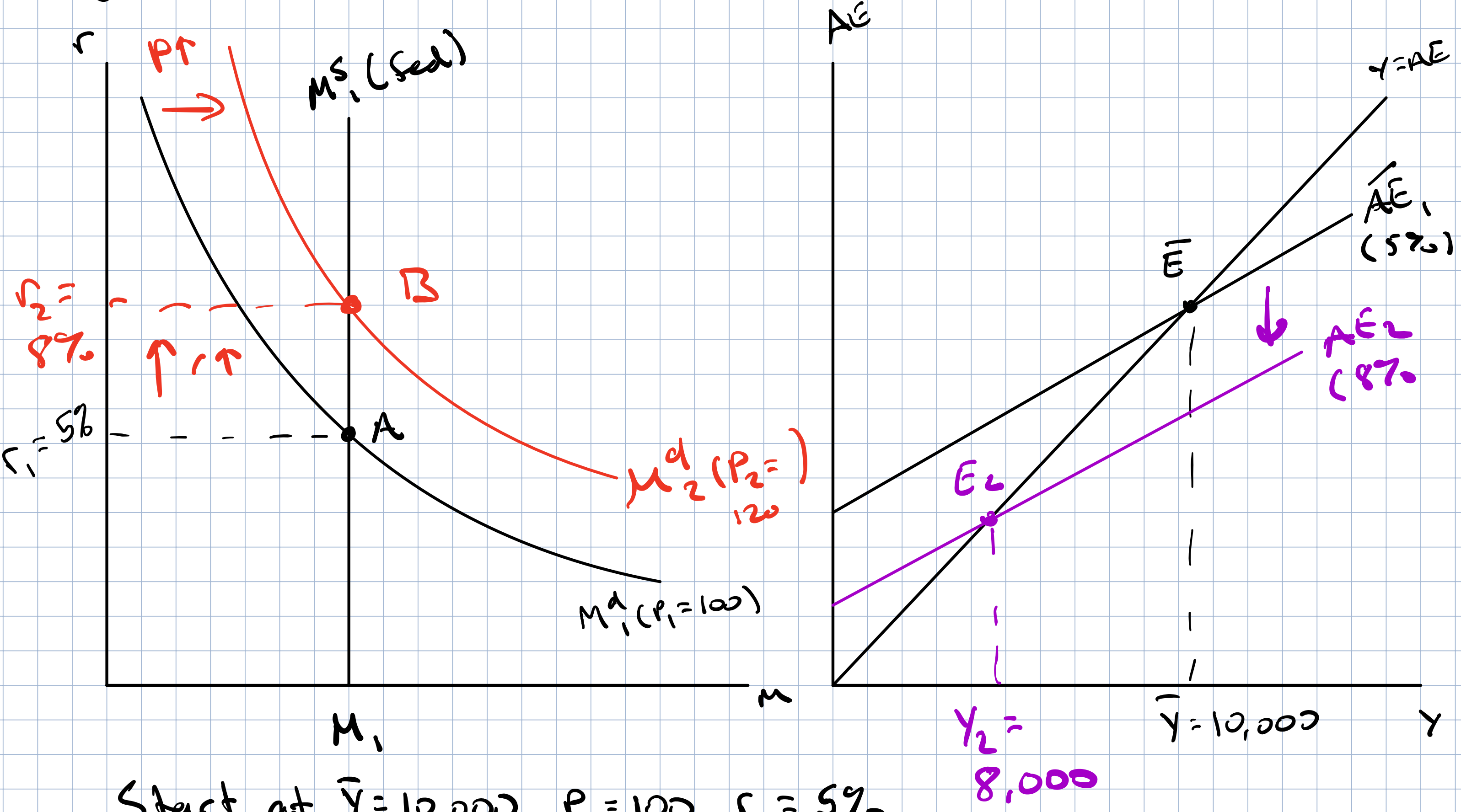
Buy bonds → M^S ↑ (right)

r_1 down to r_2

→ ↑ in AC, I^P → ↑ in AE

↑ in Y_1 to $\bar{Y} = 10000$

What about inflation?



Start at $\bar{Y} = 10{,}000$, $P_1 = 100$, $r_1 = 5\%$

Setup: Original Prices = 100 → rise to 120

$\underbrace{\text{20\% inflation}}$ → what curve is influenced by prices directly

Move M^d ⇒ need more cash ⇒ M^d ↑

New interest rate at $r_2 = 8\% > r_1 = 5\%$

Interest rate ↑ ⇒ AC ↓, I^P ↓ ⇒ ↓ AE

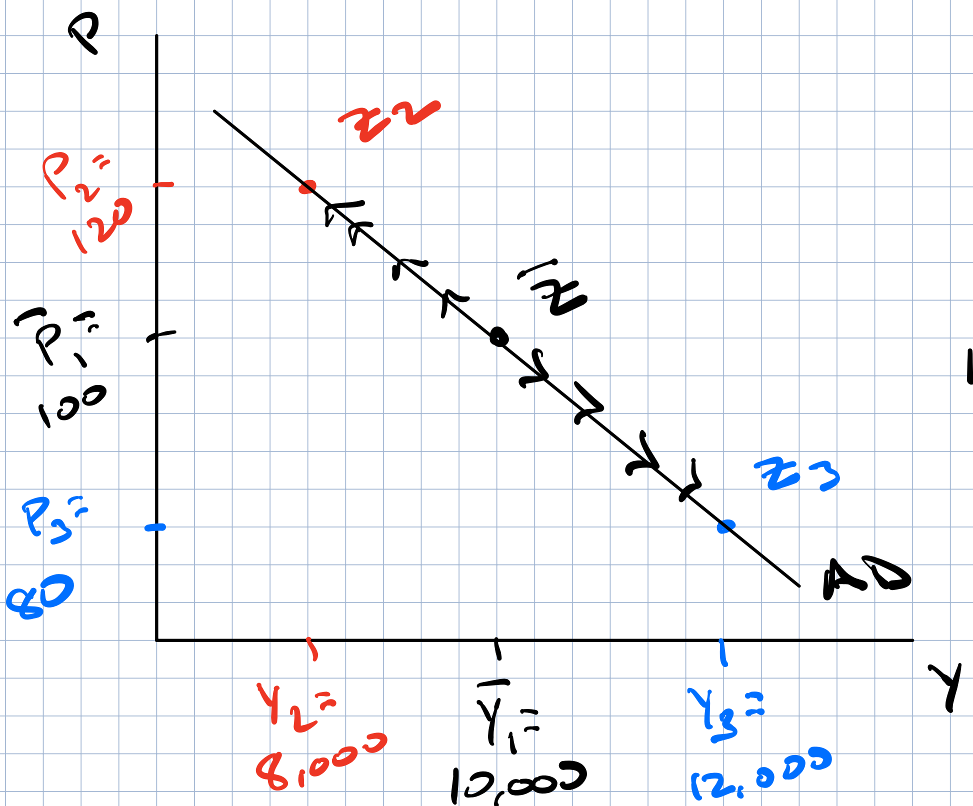
↓ AE → ↓ in Y, $\bar{Y} = 10{,}000$ to $Y_2 = 8{,}000$

Summarize → Condense

$$\left.\begin{array}{ll} P_1 = 100, & \bar{Y}_1 = 10{,}000 \\ P_2 = 120, & Y_2 = 8{,}000 \\ P_3 = 80, & Y_3 = 12{,}000 \end{array}\right\rangle \left.\begin{array}{l} P\uparrow,\ M^d\uparrow,\ r\uparrow \\ AC\downarrow,\ I^P\downarrow,\ AE\downarrow \end{array}\right\} Y\downarrow$$

Define a new curve:

Represent the relationship between general level of Prices (CPI), level of output (GDP)



Prices vs. Output

≈ Demand Curve?

Aggregate Demand Curve (AD)

AD: "Equilibrium level of spending at every Price level"

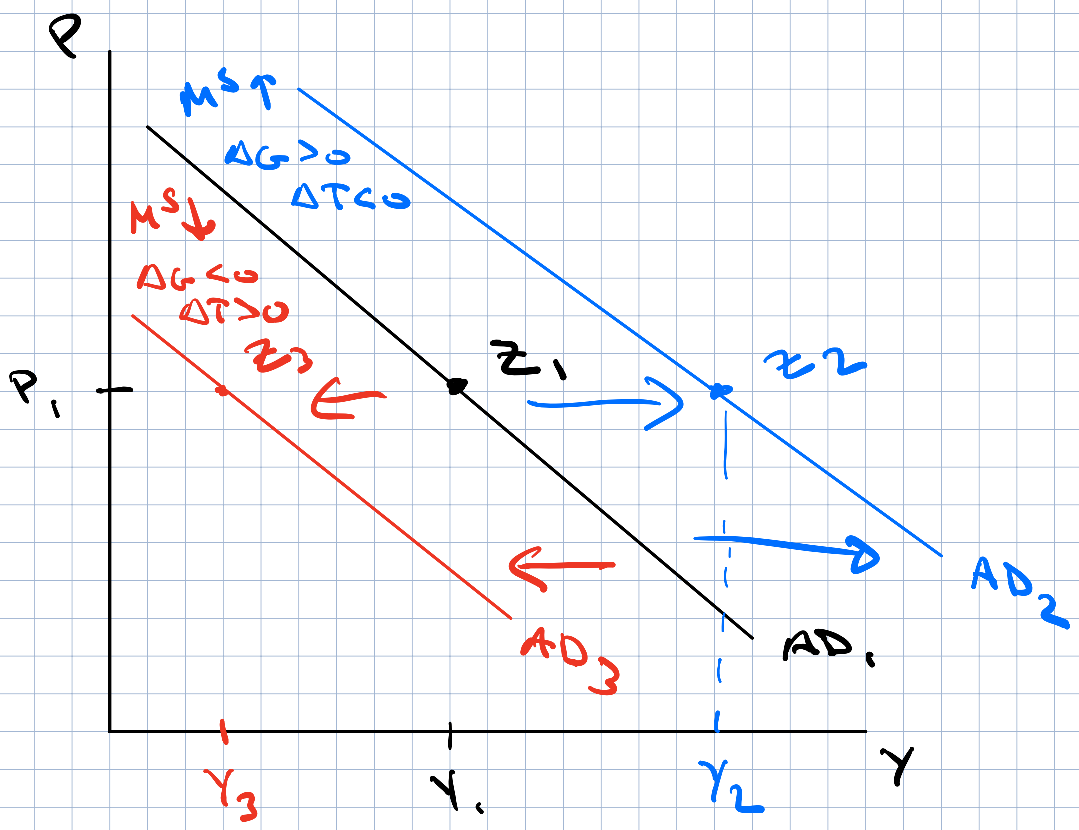
Note: What happens to AD when prices change?

No change in AD → move along the curve

$P\downarrow,\ M^d\downarrow,\ r\downarrow,\ AE\uparrow,\ Y\uparrow$

What shifts AD?

What changes equilibrium $Y = AE$, other than price?



Categories of AD Shifters

1. Monetary Policy

$\uparrow M^S$ (Buy bonds) $\to \downarrow r \to \uparrow AE \to \uparrow Y$

New equilibrium at P_1 & Y_2

Higher level of $Y = AE$ at all price levels $\to$ Shift AD right

$\downarrow M^S$ (Sell bonds) $\to r\uparrow$, $\downarrow AE$, $\downarrow Y$ $\to$ Shift AD left

2. Fiscal Policy $\to$ Change in G or T

$\Delta G>0$, $\Delta T<0$ $\to$ Direct impact on AE

$\Rightarrow \uparrow AE$, $\uparrow Y$, Prices are initially unchanged $\to$ AD Right

$\Delta G<0$, $\Delta T>0$ $\Rightarrow \downarrow AE$, $\downarrow Y$ $\to$ AD Left

Change $Y = AE$, but prices are the same

3. Word Cloud $\to$ Pandemic Lockdown $\downarrow$ AE

$\to$ Consumer Expectations $\downarrow$ $\to$ AD$\downarrow$ (AE$\downarrow$)

$\to$ New inventions to buy :) $\uparrow$ $\to$ AD$\uparrow$ (AE$\uparrow$)

AD → Represents consumer spending (firm)

Other side of market

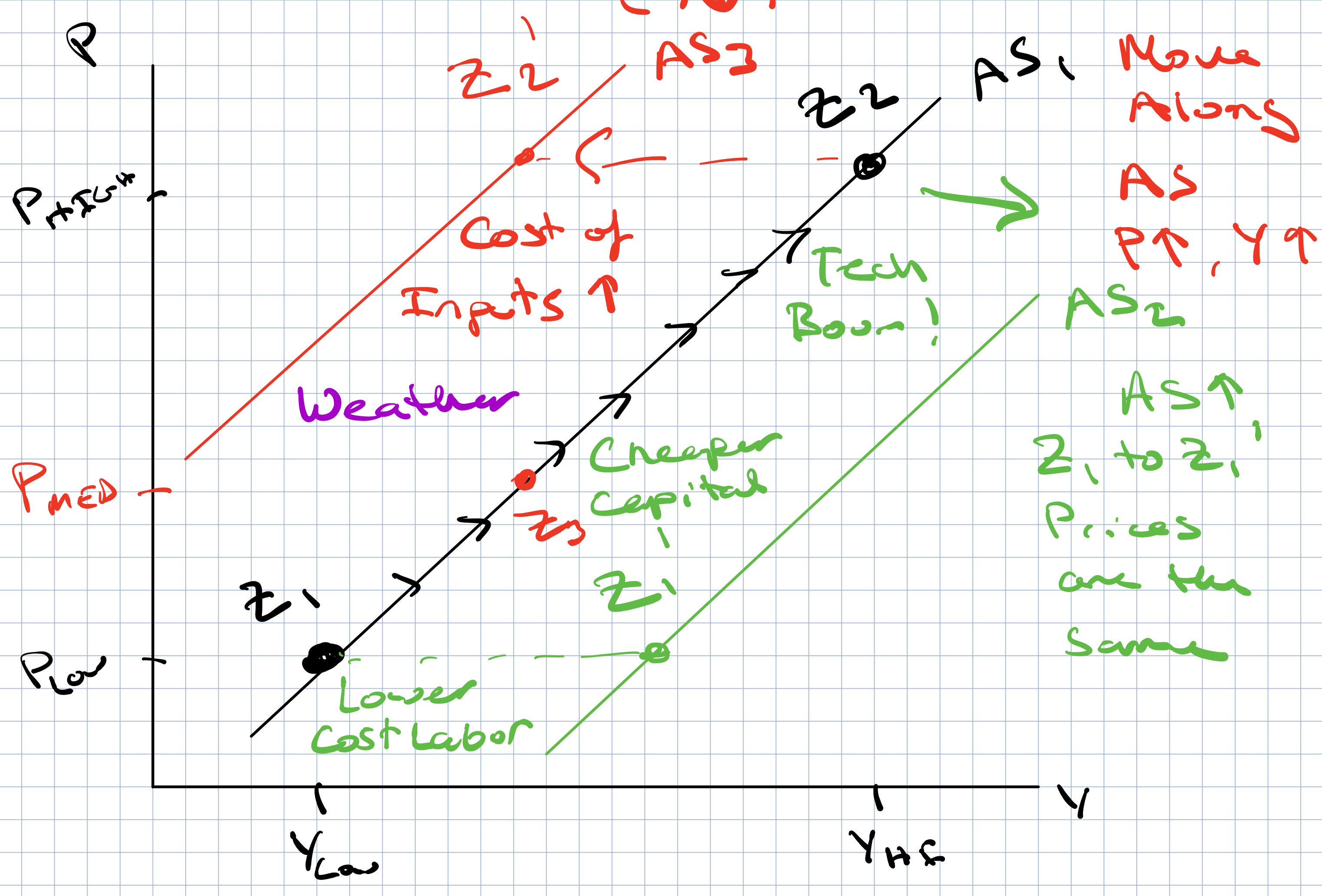
Are firms willing to produce Y_1 at P_1?

Aggregate Supply Curve (AS)

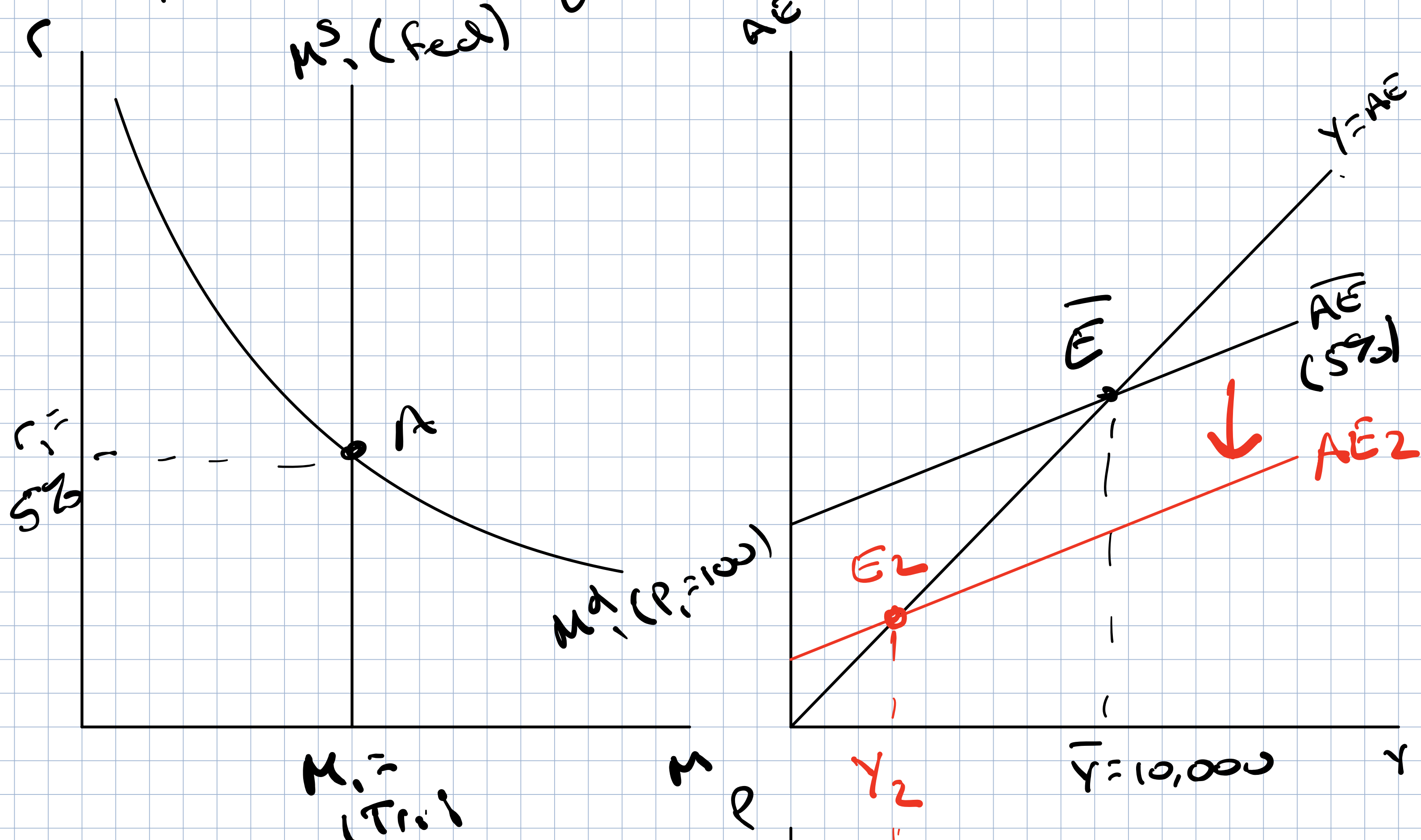
The general level of prices → move directly with the amount that firms are willing and able to produce

As the level of prices rise → firms will produce more (Y↑)

As P↓, firms will produce less (Y↓)



Complete Macro Equilibrium



$M^S_1 = 1$ Tril $\quad \bar{Y} = 10{,}000$

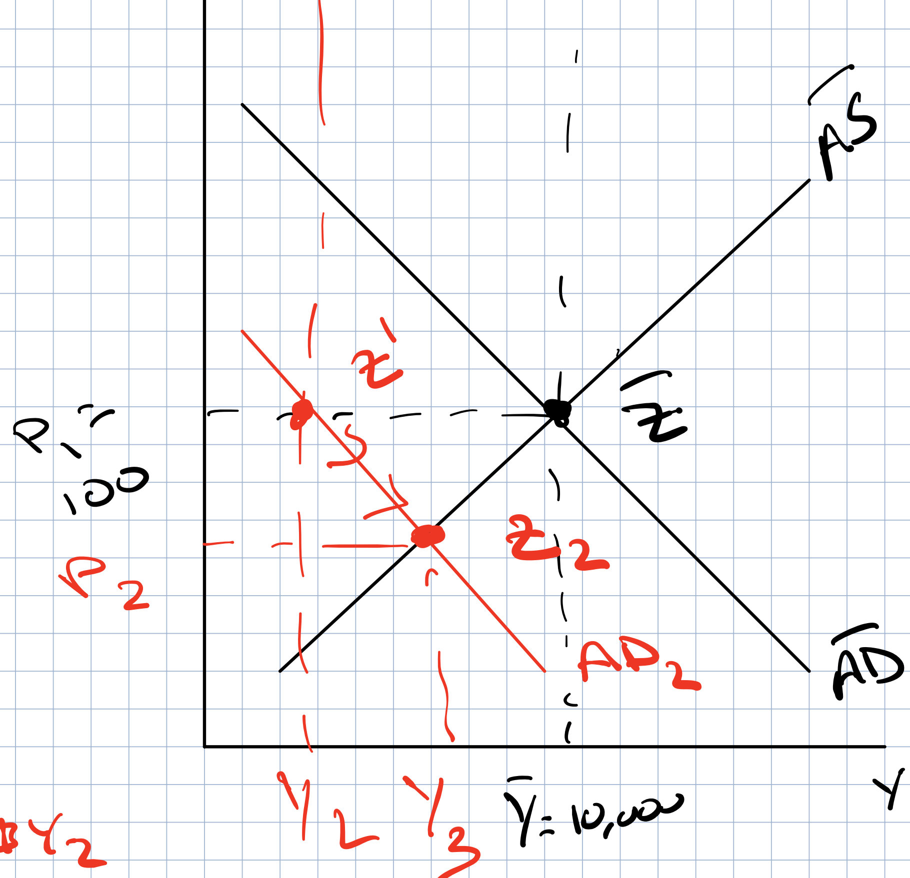
$r_1 = 5\%$

$P_1 = 100$

Housing Market Shock?

1) ↓AC, ↓I^P
→ ↓AE

2) Prices don't initially change!
↓AD



P_1 & Y_2